

I Shouldn't Kevin report into the OTC for wholesale as we discussed? Mark

-----Original Message-----

From: Whalley, Greg

Sent: 04 June 2001 12:21

To: Frevert, Mark

Subject: FW: Draft of Organizational Announcement

----- Forwarded by Greg Whalley/HOU/ECT on 06/04/2001 12:19 PM -----

From: Kevin Garland/ENRON@enronXgate on 06/03/2001 11:08 PM

To: Greg Whalley/HOU/ECT@ECT

cc: Liz M Taylor/HOU/ECT@ECT

Subject: FW: Draft of Organizational Announcement

This has been reviewed by HR and Gene Humphrey. Please respond with any comments. It is intended to go out on Tuesday at noon. I will have the reorg group meeting Tuesday morning.

KG

Announcing the Formation of One Corporate Equity Investing Unit

To better develop and manage equity investment opportunities related to our core businesses, Enron has formed one corporate equity investment unit. This new unit, Enron Principal Investments, will combine the existing investment units of ENA, EBS and Enron Investment Partners. Additionally, the Enron Wholesale Restructuring Group will also become part of Enron Principal Investments. The strategy of Enron Principal Investments will be to work with all the business units of Enron to identify, execute, and manage equity investments, which leverage the Enron's unique and proprietary knowledge. These investments may be in the form of venture capital, LBO's, traditional private equity and distressed debt positions.

Kevin Garland will serve as Managing Director of Enron Principal Investments, overseeing all of its activities. Gene Humphrey, Michael Miller, Richard Lydecker, and their groups, will join Kevin and his group to form this new investments unit.

This new investment unit will report to Greg Whalley, in his capacity as an Enron Policy Committee member. Please join me in congratulating and supporting Kevin, Gene, Michael, Richard and the other members of this group in this effort.

Jeff Skilling